

For our purposes, it doesn't matter whether an institution calls itself a bank, a savings bank, or a savings and loan (S&L). These classifications only reflect the government agency that oversees the institution—they're all the same to you. A **credit union** is slightly different: a sort of not-for-profit bank formed by people who have something in common, such as their workplace or profession. Credit unions tend to offer lower-priced services than ordinary banks. (For details on the advantages of credit unions and how to join, see the box on chapter 4).

Nearly all banks, savings banks, and S&Ls in the United States are covered by something called federal deposit insurance, which guarantees that, if the institution fails, the money in your account is protected. The government agency behind this is the Federal Deposit Insurance Corporation (FDIC), and it normally protects accounts up to \$100,000 (the government has raised that limit to \$250,000, but it may be temporary), so you have nothing to worry about. Check for FDIC stickers in banks that you're considering or consult the FDIC website (www.fdic.gov/deposit) to find out if your accounts are insured and for how much. At credit unions, look for the NCUA sign, which indicates that accounts are protected by the National Credit Union Share Insurance Fund. If you don't see a sign or sticker at your institution, ask. Keep in mind that many banks, savings banks, S&Ls, and credit unions also sell uninsured investments these days (which will be explained later in this chapter), so it is important to make sure that the type of account you're opening is covered by federal deposit insurance.

For simplicity, I'm going to stick with the term "bank" when discussing all these financial institutions.

↓ **WHAT TO LOOK FOR IN A BANK**

Whether you need a bank or you're just thinking about switching to a new one, here's what you want:

- **Free checking.** Most banks offer this—you just have to wade through the choices and sign up for the right account. Look for one that allows you to write as many checks as you